Chapter III - Guidelines Applicable to NBFC – Middle Layer

A. Role of the Board

12. An NBFC in the middle layer shall put in place comprehensive Board-approved policy on concentration risk management, which shall inter-alia include.

(1) Internal limits for sensitive sector exposure (SSE) separately for capital market and commercial real estate exposures.

(2) Fixing of various sub-limits, at the discretion of the Board, within the overall SSE internal limits subject to conditions

B. Credit / investment concentration Norms (not applicable to NBFC-UL)

13. An NBFC [except (Non-Banking Financial Company-Infrastructure Finance Company (NBFC-IFC)] shall not have exposure (credit / investment taken together) exceeding

(1) 25 per cent of its Tier 1 capital to a single party; and

(2) 40 per cent of its Tier 1 capital to a single group of parties,

Provided that an NBFC may exceed the exposure norm specified above, by five per cent for any single party and by 10 per cent for a single group of parties, if the additional exposure is on account of infrastructure loan and / or investment.

14. NBFC-IFC shall not have exposure (credit / investment taken together) exceeding

(1) 30 per cent of its Tier 1 capital to a single party; and

(2) 50 per cent of its Tier 1 capital to a single group of parties.

(3) [3][The applicable Tier 1 Capital for compliance with the norms stated in paragraphs 13 and 14 above, shall be determined based on the NBFC's latest available financial statements (audited or subject to limited review).]

(4) [4][The term "Tier 1 Capital" in this context shall be as defined in paragraph 10 of the Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Directions, 2025."]

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[3] Inserted with effect from March 10, 2026, vide Reserve Bank of India (Non-Banking Financial Companies - Concentration Risk Management) Second Amendment Directions, 2026 dated March 10, 2026.

[4] Inserted with effect from March 10, 2026, vide Reserve Bank of India (Non-Banking Financial Companies - Concentration Risk Management) Second Amendment Directions, 2026 dated March 10, 2026.

15. The ceiling on the investment in shares of another company shall not be applicable to an NBFC in respect of investment in the equity capital of an insurance company up to the extent specifically permitted, in writing, by the RBI.

16. Exposure norms shall not apply to any NBFC not accessing public funds in India, either directly or indirectly and not issuing guarantees.

17. Exposure norms shall not apply to:

(1) investments of an NBFC in shares of

(i) its subsidiaries;

(ii) companies in the same group,

to the extent they have been reduced from Owned Funds for the calculation of NOF; and

(2) the book value of debentures, bonds, outstanding loans and advances (including hire-purchase and lease finance) made to, and deposits with –

(i) subsidiaries of the NBFC; and

(ii) companies in the same group,

to the extent they have been reduced from Owned Funds for the calculation of NOF.

(3) The exposures listed below shall also be exempt from exposure norms:

(i) Exposure to the Government of India and State Governments which are eligible for zero per cent risk weight under capital regulations applicable to an NBFC.

Note: To the extent of State Government guarantee used for offsetting exposures by NBFC-ML, the exposure shall shift to the State Government with applicable risk weight of 20 per cent. No cap has been fixed for shifting of exposure on the State Government.

(ii) Exposure where the principal and interest are fully guaranteed by the Government of India.

18. An NBFC shall formulate a policy in respect of exposures to a single party / a single group of parties.

19. A Government NBFC set up to serve specific sectors may approach the RBI for exemptions, if any.

C. Computation of exposure – Credit Risk Transfer Instruments (not applicable to

NBFC-UL)

20. Aggregate exposure to a counterparty comprising both on and off-balance sheet exposures shall be calculated based on the method prescribed for capital computation in the Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Directions, 2025 / applicable Directions; i.e., on-balance sheet exposures shall be reckoned at the outstanding amount (netting is allowed only for assets where provisions for depreciation or for bad and doubtful debts have been made) while the off-balance sheet exposures shall be converted into credit risk equivalent by applying the credit conversion factor prescribed under capital requirements. Further, Credit Default Swaps are allowed as credit risk transfer instruments for offsetting exposure to the underlying counterparty in terms of the Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Directions, 2025. In addition, the exposures shall also be offset with credit risk transfer instruments listed below:

(1) Cash margin / caution money / security deposit held as collateral on behalf of the borrower against the advances for which right to set off is available;

(2) Central Government guarantees which attract zero per cent risk weight for capital computation;

(3) State Government guarantees will attract 20 per cent risk weight for capital computation. To the extent that a State Government guarantee is used for offsetting exposures by NBFC-ML, the exposure shall shift to the State Government with applicable risk weight of 20 per cent. No cap has been fixed for shifting of exposure on the State Government); and

(4) Guarantees issued under the Credit Guarantee Schemes of CGTMSE, CRGFTLIH and individual schemes under NCGTC subject to meeting the conditions as specified in the Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Directions, 2025.

Provided that to be eligible as a credit risk transfer instrument, guarantees in respect of paragraphs 20 (2) 20 (3)and 20 (4)above shall be direct, explicit, irrevocable and unconditional.

21. These ceilings shall be applicable to the exposure by an NBFC to companies / firms / entities in its own group as well as to the borrowers / investee entity's group.

D. Factoring transactions

22. In case of factoring on 'with-recourse' basis, the exposure shall be reckoned on the assignor.

23. In case of factoring on 'without-recourse' basis, the exposure shall be reckoned on the debtor, irrespective of credit risk cover / protection provided, except in cases of international factoring where the entire credit risk has been assumed by the import factor.

E. Sensitive Sector Exposure (SSE)

24. Exposure to capital market (direct and indirect) and commercial real estate shall be reckoned as sensitive exposure for an NBFC, who shall fix Board-approved internal limits for SSE separately for capital market and commercial real estate exposures. An NBFC may consider dynamic vulnerability assessments of various sectors and their likely impact on business, as evaluated periodically, for determining such internal exposure limits. While the Board is free to determine various sub-limits within the overall SSE internal limits, the following are specifically prescribed:

(1) A sub-limit within the commercial real estate exposure ceiling shall be fixed internally for financing land acquisition.

(2) Ceiling on IPO Funding at ₹1 crore per borrower for financing subscription to Initial Public Offer (IPO). An NBFC may fix more conservative limits.

Chapter IV - Guidelines Applicable to NBFC – Upper Layer

A. Role of the Board

25. NBFCs in the upper layer shall put in place comprehensive Board-approved policy on concentration risk management, which shall inter-alia include:

(1) Conditions under which exposure beyond 20 per cent (for NBFCs other than IFCs) / 25 per cent (for IFCs) to a single counterparty.

(2) Policy to determine the existence of a group of connected counterparties.

(3) Internal exposure limits (in addition to SSE internal limits) on other important sectors to which credit is extended.

(4) Limits for exposure to the NBFC sector.

B. Large Exposure Framework (LEF)

26. Prudential guidelines on exposure norms aim at addressing credit risk concentration in an NBFC. These instructions set out to identify large exposures, refine the criteria for grouping of connected counterparties and put in place reporting norms for large exposures.

B.1 Scope of application

27. The guidelines shall be applicable to an NBFC, both at the solo level and at the consolidated (group) level.

28. Exposure shall comprise both on and off-balance sheet exposures by the NBFC.

B.2 Scope of counterparties and exemptions

29. An NBFC's exposure to all its counterparties and groups of connected counterparties, excluding the exposures listed below, shall be considered for exposure limits. The exposures that are exempted from the LEF are listed below:

(1) exposure to the Government of India and State Governments which are eligible for zero per cent risk weight under capital regulations applicable to the NBFC;

(2) exposure where the principal and interest are fully guaranteed by the Government of India;

(3) the NBFC's exposure to group entities that is deducted from its Owned Funds to arrive at the NOF; and

(4) investment in the equity capital of the insurance company to the extent specifically permitted in writing by the RBI.

30. Exposures shall be permitted to be offset with credit risk transfer instruments as per principle indicated at paragraph 41 and the indicative list of such instruments is provided below:

(1) Cash margin / caution money / security deposit against which right to set off is available, held as collateral against the advances;

(2) Central Government guarantees which attract zero per cent risk weight for capital computation;

(3) State Government guarantees which attract 20 per cent risk weight for capital computation; and

(4) Guarantees issued under the CGTMSE, CRGFTLIH and individual schemes under NCGTC subject to meeting the conditions as specified in the Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Directions, 2025.

Provided that to be eligible as a credit risk transfer instrument, guarantees in respect of paragraphs 30(2), 30(3) and 30(4)above shall be direct, explicit, irrevocable and unconditional.

(5) For corporate bonds held in current category and hedged by Credit Default Swap (CDS), where there is no mismatch between the CDS and the hedged bond, the credit protection has been permitted to be recognised to a maximum of 80 per cent of the exposure hedged. The remaining 20 per cent of the exposure shall be recognised on the original counterparty. For corporate bonds held in permanent category and hedged by CDS where there is no mismatch between the CDS and the hedged bond, the NBFC can recognise full credit protection for the underlying asset. The exposure of the original counterparty shall stand fully substituted by the exposure to the protection seller.

(6) Except for paragraphs 30(1) and 30(2) in all other cases where exposure to the original counterparty is reduced on account of an eligible credit risk transfer instrument provided by another counterparty for that exposure, it needs to be recognized as an exposure to that extent on the credit risk transfer instrument provider.

31. Where two (or more) entities falling outside the scope of the sovereign exemption are controlled by or are economically dependent on an entity that falls within the scope of the sovereign exemption (paragraph 29(1)), and are otherwise not connected, those entities will not be deemed to constitute a group of connected counterparties.

32. The NBFC's exposure to an exempted entity which is hedged by a credit derivative shall be treated as an exposure to the counterparty providing the credit protection notwithstanding the fact that the original exposure is exempted.

B.3 The Large Exposure Limits

B.3.1 Single Counterparty

33. The sum of all the exposure values of an NBFC to a single counterparty shall not be higher than 20 per cent of the NBFC's available eligible capital base at all times.

34. Board of the NBFC may allow additional 5 per cent exposure beyond 20 per cent but at no time higher than 25 per cent of the NBFC's eligible capital base, subject to the following conditions:

(1) NBFC has a policy approved by its board of directors setting out conditions under which exposure beyond 20 per cent may be considered; and

(2) NBFC shall record in writing the exceptional reasons for which exposure beyond 20 per cent is being allowed in a specific case.

Provided that an NBFC-IFC may further exceed the exposure limit by five per cent of Tier 1 capital for exposure to a single counterparty.

Provided further that an NBFC may exceed the exposure limit by five per cent of its Tier 1 capital for exposure to a single counterparty, if the additional exposure is on account of infrastructure 'loan and / or investment'. However, single counterparty limit shall not exceed 25 per cent in any case for NBFC (other than IFC) and 30 per cent for NBFC-IFC.

B.3.2 Groups of Connected Counterparties

35. The sum of all exposure values of an NBFC to a group of connected counterparties shall not be higher than 25 per cent of the NBFC's available eligible capital base at all times.

Provided that an IFC may exceed the exposure limit by 10 per cent of its Tier 1 capital for exposure to a group of connected counterparties.

Provided further that an NBFC may exceed the exposure limit by 10 per cent of its Tier 1 capital for exposure to a group of connected counterparties, if the additional exposure is on account of infrastructure 'loan and / or investment'.

36. An NBFC shall frame a policy approved by its board to determine the existence of a group of connected counterparties. The policy framed, and assessments made under such a policy shall be subject to supervisory scrutiny.

37. In exceptional cases, if an NBFC demonstrates to the RBI that despite control being established, such control does not necessarily result in the entities concerned constituting a group of connected counterparties (e.g., existence of control between counterparties due to specific circumstances and corporate governance safeguards), then it is not required to classify the entities as a group of connected counterparties.

38. In exceptional cases, if an NBFC can demonstrate to the RBI that a counterparty which is economically closely related to another counterparty may overcome financial difficulties, or even the second counterparty's default, by finding alternative business partners or funding sources within an appropriate time period, then it is not required to classify the entities as a group of connected counterparties.

39. A summary of the LEF limits for NBFC is given below:

(as per cent of eligible capital base)		
	NBFC (Other than IFC)	**NBFC (IFC)**
Single Counterparty	20 per cent additional five per cent with Board approval additional five per cent if exposure towards Infrastructure loan / investment (Single counterparty limit shall not exceed 25 per cent in any case)	25 per cent additional five per cent with Board approval
Group of connected Counterparties	25 per cent additional 10 per cent if exposure towards Infrastructure loan / investment	35 per cent

B.3.3 Relation between interconnectedness through control and interconnectedness through economic dependency

40. There may be situations where the control relationship and economic interdependence are interlinked. Therefore, one group of connected counterparties could include both types of factors in such a way that all relevant counterparties constitute a single risk for the NBFC. Risk of contagion is present irrespective of type of connectedness (i.e.